

D.J. PARIS

80 TO 90 PERCENT.

That's how many new home sales right now close only with a rate buydown built in.

D.J. Paris
Keeping It Real Podcast

kale
Realty

learn more at joinkale.com

“

**BUILDERS AREN'T
BEATING YOUR
LISTING ON PRICE.
THEY'RE BEATING
IT ON FINANCING.**

Almost every new home sale right now closes with a rate buydown attached. Most resale listings still don't offer one.

NEW HOME PRICES FELL, AND BUYERS STILL COULDN'T QUALIFY WITHOUT A BUYDOWN.

Cotality's chief economist, Selma Hepp, told HousingWire that roughly 80 to 90 percent of new home sales now require a mortgage rate buydown to close. Builders are already discounting: the median new home price fell 5.8 percent year over year to \$393,700 in August, and supply held at 8.5 months, 483,000 homes for sale, 112,000 of them finished and ready to move into. Even with those cuts, Lennar reported about half of prospective buyers still didn't qualify at the offered price. The buydown, not the sticker price, is what's actually closing the deal.

WHAT THAT MEANS FOR YOUR NEXT LISTING CONVERSATION:

- 1 Ask every seller if their home can compete with a builder's financing, not just their price.**
A resale listing priced to match a new build still loses if the new build also comes with a two point rate buydown.
- 2 Bring a seller-paid buydown into the pricing conversation, not just a price cut.**
A one or two point buydown often costs the seller less than the next reduction and moves the buyer's payment more.
- 3 Show the buyer the payment at the buydown rate, not the sticker rate.**
That's the number builders are already leading with. An agent who doesn't is negotiating with one hand behind their back.

THE TAKEAWAY

**THE BUILDER DOWN
THE STREET ISN'T
BEATING YOU ON
PRICE. THEY'RE
BEATING YOU ON
THE NUMBER YOUR
BUYER ACTUALLY
PAYS EACH
MONTH.**